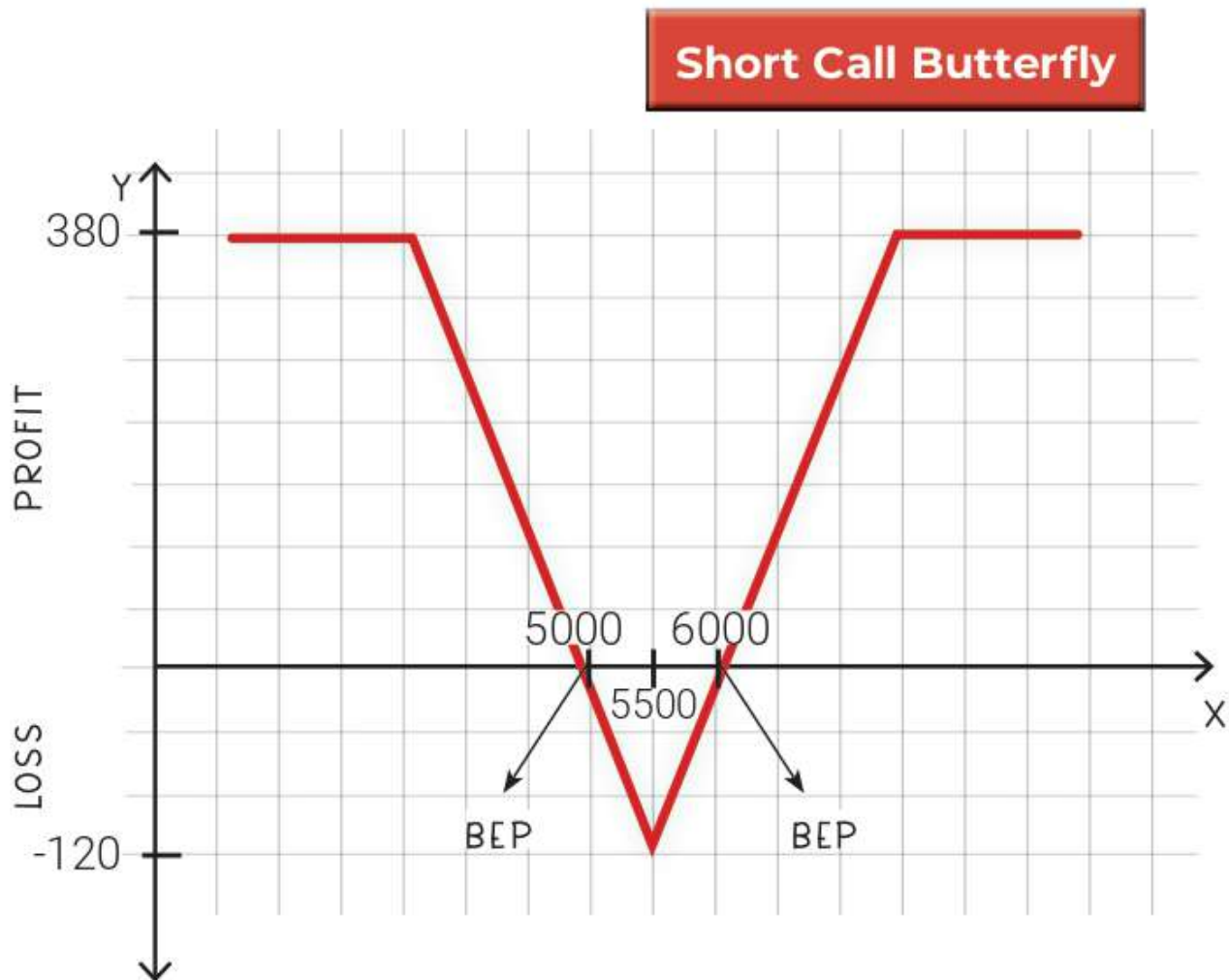


For a short call butterfly, our payoff is exact opposite.

For instance, we would be selling 1 call at ₹5000. Buying 2 calls at ₹5500 and selling 1 more call at ₹6000. The chart is the exact mirror image of a long call butterfly graph.



MAXIMUM PROFIT = Net Premium received
= ₹600 – ₹260 + ₹40
= **₹380**

At price of ₹5000 or below, we have a fixed profit. As we move ahead of ₹5000, our profits start to decrease.